

Steps / Stages Involved in Demand Forecasting

1. Determination of Objectives

- • Clearly define the objective of demand forecasting.
- • Helps select the right type of forecast (short-term or long-term).
- • Guides future planning and decision-making.

2. Nature of the Product and Market

- • Forecasting depends on the type of product: durable, non-durable, consumer or capital goods.
- • Perishable goods need storage, facilities, transport considerations.
- • Influenced by market structure: perfect or imperfect markets.

3. Identification of Demand Determinants

- • Identify all factors affecting demand.
- • Durable goods depend on income level, credit availability.
- • Non-durable goods depend on price, tastes, preferences, income.
- • Also includes social, psychological, demographic factors.

4. Selection of Forecasting Method

- • Choose method based on nature of product and time period.
- • Sometimes combination of methods is needed.
- • Consider degree of accuracy required and cost involved.
- • Data sources: Primary data & Secondary data.

5. Interpretation, Analysis & Estimation

- • Collected data must be processed and interpreted accurately.
- • Statistical testing ensures reliability of the forecast.
- • Final demand estimates are made based on analyzed data.